

07 Aug 2026 11:15:44 ET | 17 pages

PharmaResearch (214450.KQ)

2Q26 topline beat yet margin miss, structural positives underway

CITI'S TAKE

PharmaResearch (PR) showed 2Q26 topline beat from strong demand in Rejuran exports and cosmetic sales, while delivering a margin miss. 3Q26E should be above consensus driven by another solid topline growth amid controlled expenses. We see structural positives for PR. Raise TP to W500k.

2Q26 topline beat yet margin miss — PharmaResearch (PR) reported sales of W179bn (+27% YoY) and OP of W66bn (+19% YoY), where sales were 6% above consensus yet OP in line. Better than expected sales came from 1) strong medical device exports of W from EU/Asia countries and 2) strong cosmetic sales W60bn (+95% YoY) from SEA online commerce expansion and the US. Yet, OP margin (37%) was a miss as PR increased brand campaigns / marketing spending as well as cosmetic sales mix increase leading to higher sales commission.

Outlook in 2H26E — We believe PR will record another solid growth in 3Q, where we expect sales of W185bn (+37% YoY) and OP of W75bn (+21% YoY, OP margin 40.5%), which is 8%/8% above consensus respectively. We expect medical device exports will sustain strong growth as existing countries order volume increases on top of EU-bound sales exceeding MOQ levels by c.40% (we estimate annual western EU sales of W17bn). Cosmetics should also see strong growth from Costco expansion in the US, online commerce expansion in Korea. GP margin may fall 30bps QoQ (76.7%) from cosmetics mix increase, yet OP margin should see QoQ incline given controlled marketing costs.

Structural positives — Share price post earnings release has reacted negatively on back of margin deterioration. Yet we see several structural positives in earnings going forward, underpinned by: 1) sustainable growth in medical device export from aligned distribution policy and sales strategy (where weakened countries during 2025 are now becoming a sales tailwind), 2) successful year 1 execution in Western EU alleviating concerns on weak demand, and 3) acquisition of the US plant expected to ease logistics inefficiencies in cosmetic segment, leading to a faster lead-time and potential OP margin improvement from operating leverage.

Raise TP to W500k — We raise our FY26-FY28 NP estimates by 1-5% to reflect stronger sales outlook, hence we also raise our 12MF TP to W500k. Reiterate Buy.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(W)	(W)	(%)	(x)	(x)	(%)	(%)
2024A	92	8,838	17.9	42.8	7.4	18.9	0.3
2025A	165	15,801	78.8	24.0	5.7	26.9	1.0
2026E	225	19,467	23.2	19.4	4.5	28.7	1.1
2027E	266	22,956	17.9	16.5	3.6	26.7	1.4
2028E	321	27,739	20.8	13.6	2.9	25.8	1.6

Source: Powered by dataCentral

Buy

Short-Term View: Upside

Price (07 Aug 26 15:45)	W378,500
Target price	W500,000↑ from W480,000
Expected share price return	32.1%
Expected dividend yield	1.2%
Expected total return	33.3%
Market Cap	W3,932,482M US\$2,763M

Price Performance

(RIC: 214450.KQ, BB: 214450 KS)


Heejin Lim^{AC}

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

214450.KQ: Fiscal year end 31-Dec						Price: W378,500; TP: W500,000; Market Cap: W3,932,482m; Recomm: Buy					
Profit & Loss (Wb)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	350	536	710	859	1,017	PE (x)	42.8	24.0	19.4	16.5	13.6
Cost of sales	-99	-125	-164	-206	-249	PB (x)	7.4	5.7	4.5	3.6	2.9
Gross profit	251	411	545	652	768	EV/EBITDA (x)	26.7	14.8	11.1	8.6	6.9
Gross Margin (%)	71.8	76.7	76.9	76.0	75.5	FCF yield (%)	2.6	3.9	3.1	5.1	6.4
EBITDA (Adj)	135	230	295	363	424	Dividend yield (%)	0.3	1.0	1.1	1.4	1.6
EBITDA Margin (Adj) (%)	38.6	42.9	41.6	42.3	41.7	Payout ratio (%)	12	23	22	22	22
Depreciation	-9	-10	-9	-10	-12	ROE (%)	18.9	26.9	28.7	26.7	25.8
Amortisation	0	0	0	0	0	Cashflow (Wb)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	126	214	278	343	412	EBITDA	135	224	287	353	424
EBIT Margin (Adj) (%)	36.0	40.0	39.2	40.0	40.5	Working capital	0	-25	-31	-36	-37
Net interest	-16	9	24	13	18	Other	3	-17	-97	-58	-67
Associates	6	0	0	0	0	Operating cashflow	138	183	159	259	320
Non-Op/Except/Other Adj	0	-7	0	0	0	Capex	-36	-30	-25	-34	-41
Pre-tax profit	116	217	302	356	430	Net acq/disposals	-170	-113	-7	-9	-12
Tax	-27	-48	-72	-85	-103	Other	-20	-13	0	0	0
Extraord./Min.Int./Pref.div.	3	-3	-4	-5	-6	Investing cashflow	-226	-156	-32	-44	-53
Reported net profit	92	165	225	266	321	Dividends paid	-10	-12	-39	-45	-53
Net Margin (%)	26.3	30.8	31.7	30.9	31.6	Financing cashflow	183	-15	-39	-45	-53
Core NPAT	92	165	225	266	321	Net change in cash	96	10	88	171	214
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	102	153	134	225	279
Reported EPS (W)	8,838	15,801	19,467	22,956	27,739						
Core EPS (W)	8,838	15,801	19,467	22,956	27,739						
DPS (W)	1,100	3,700	4,330	5,110	6,180						
CFPS (W)	13,262	17,527	13,747	22,432	27,636						
FCFPS (W)	9,765	14,683	11,600	19,462	24,120						
BVPS (W)	51,323	66,346	84,706	106,410	132,763						
Wtd avg ord shares (m)	10.4	10.5	10.4	10.4	10.4						
Wtd avg diluted shares (m)	10.4	10.5	11.6	11.6	11.6						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	34.1	53.2	32.3	21.0	18.4						
EBIT (Adj) (%)	36.6	70.1	29.7	23.3	20.1						
Core NPAT (%)	20.2	79.4	36.4	17.9	20.8						
Core EPS (%)	17.9	78.8	23.2	17.9	20.8						
Balance Sheet (Wb)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	452	620	769	940	1,153						
Accounts receivables	43	52	63	76	91						
Inventory	57	83	108	135	162						
Net fixed & other tangibles	200	235	248	267	291						
Goodwill & intangibles	33	31	34	38	44						
Financial & other assets	70	22	22	22	22						
Total assets	856	1,044	1,244	1,479	1,764						
Accounts payable	11	11	15	19	23						
Short-term debt	9	8	8	8	8						
Long-term debt	1	0	0	0	0						
Provisions & other liab	265	300	302	302	303						
Total liabilities	286	320	325	330	334						
Shareholders' equity	539	689	880	1,106	1,379						
Minority interests	30	35	39	44	50						
Total equity	569	724	919	1,149	1,429						
Net debt (Adj)	-442	-612	-761	-931	-1,145						
Net debt to equity (Adj) (%)	-77.6	-84.5	-82.8	-81.0	-80.1						
For definitions of the items in this table, please click here .											

Figure 1. PR: 2Q26 Results Review

(Wbn)	2Q25	3Q25	4Q25	1Q26	2Q26P	YoY	QoQ	2Q26E Cons	Diff
Revenue	141	135	143	146	179	27%	22%	168	6%
YoY	69%	52%	39%	25%	27%				
1) By segment									
Medical device (Skinbooster)	85	77	83	80	97	14%	22%		
Cosmetics	31	35	38	42	60	96%	43%		
Pharmaceuticals	20	22	23	21	18	-10%	-14%		
Others	4	2	(1)	3	3	-22%	16%		
2) By geography									
Domestic	90	85	85	88	95	6%	8%		
Exports	51	50	58	58	83	64%	43%		
Asia	35	33	37	34	45	30%	32%		
> China	18	18	18	-	-				
> Asia ex-China	16	15	19	-	-				
EU/Oceania	7	7	12	9	20	175%	123%		
America	8	10	9	13	17	112%	31%		
Others	1	1	1	2	2	70%	-28%		
Operating profit	56	62	52	57	66	19%	16%	67	-1%
OPM	40%	46%	36%	39%	37%			40%	
YoY	82%	77%	54%	28%	19%				
RP	56	65	50	68	74	33%	9%	71	4%
Ex-minority NP	47	49	33	48	57	19%	19%	54	4%

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Source: Citi Research, Company Reports, Bloomberg

Figure 2. PR: 3Q26E Results Preview

(Wbn)	3Q25	4Q25	1Q26	2Q26P	3Q26E	YoY	QoQ	3Q26E Cons	Diff
Revenue	135	143	146	179	185	37%	4%	171	8%
YoY	52%	39%	25%	27%	37%				
1) By segment									
Medical device (Skinbooster)	77	83	80	97	102	32%	5%		
Cosmetics	35	38	42	60	60	70%	-1%		
Pharmaceuticals	22	23	21	18	21	-2%	17%		
Others	2	(1)	3	3	3	80%	-21%		
2) By geography									
Domestic	85	85	88	95	97	14%	2%		
Exports	50	58	58	83	88	75%	5%		
Asia	33	37	34	45	50	52%	10%		
> China	18	18	-	-	-				
> Asia ex-China	15	19	-	-	-				
EU/Oceania	7	12	9	20	16	125%	-19%		
America	10	9	13	17	20	110%	16%		
Others	1	1	2	2	3	173%	59%		
	0	0	0	0	0				
Operating profit	62	52	57	66	75	21%	13%	70	8%
OPM	45.7%	36.2%	39.2%	37.2%	40.5%			40.7%	
YoY	77.2%	54.1%	28.1%	19.0%	21.3%				
RP	65	50	68	74	78	20%	5%	73	7%
Ex-minority NP	49	33	48	57	58	19%	3%	57	2%

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Source: Citi Research, Company Reports, Bloomberg

Figure 3. Customs: Quarterly filler customs export breakdown by country from Gangneung Province

Region	Country	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	YoY growth	Note
Asia	Singapore	1,875.2	1,780.0	2,124.3	2,274.0	2,303.3	3,978.1	123%	Expect to see strong growth during FY26-27E
Asia	Indonesia	1,516.0	2,356.0	2,377.8	2,231.5	2,157.0	2,239.1	-5%	
Asia	China	1,909.4	2,671.1	2,063.4	2,542.5	2,603.9	2,166.5	-19%	10193%
Asia	Philippines	-	17.6	14.3	11.6	223.3	1,811.5		
Asia	Malaysia	-	-	13.6	38.6	156.2	1,770.2	na	Strong sales growth seen in 2Q26 for PR
Asia	Japan	2,627.8	2,630.1	2,125.9	728.9	142.4	1,614.2	-39%	
Asia	Vietnam	261.8	530.4	786.7	1,056.7	688.2	1,274.6	140%	Strong sales growth seen in 2Q26 for PR
Asia	Kazakhstan	268.3	431.1	654.0	767.1	772.5	1,090.9	153%	
Asia	Thailand	694.1	809.3	855.1	897.4	700.3	1,064.9	32%	Strong sales growth seen in 2Q26 for PR, Expect to see strong growth during FY26-27E
Asia	Hong Kong	534.6	583.7	575.3	1,223.4	274.2	989.6	70%	
Asia	Taiwan	769.8	378.7	195.0	583.2	297.3	603.9	59%	Strong sales growth seen in 2Q26 for PR, Expect to see strong growth during FY26-27E
Asia	Uzbekistan	-	-	115.5	122.0	292.8	319.0	na	
Asia	Mongolia	-	-	-	-	-	-	na	na
Asia	Azerbaijan	-	-	-	-	-	-	na	
Asia	Pakistan	-	-	-	-	-	-	na	na
Asia	Nepal	-	-	-	-	-	-	na	
Asia	India	-	-	-	-	-	-	na	156%
Europe	Lithuania	1,057.2	2,269.2	2,682.8	3,503.3	1,905.1	5,798.7		
Europe	France	-	-	-	248.7	1,400.6	3,410.1	na	Strong sales growth seen in 2Q26 for PR
Europe	Turkey	93.1	400.3	323.4	641.8	877.7	1,615.3	304%	
Europe	Sweden	31.6	338.0	445.2	660.8	160.0	225.8	-33%	0%
Europe	Bulgaria	130.6	169.7	147.4	211.1	235.8	147.0	-13%	
Europe	Albania	110.8	141.5	85.5	159.2	138.7	140.8	0%	350%
Europe	Russian Federation	8.0	25.8	94.3	9.5	79.2	116.0		
Europe	United Kingdom	12.1	-	-	-	39.5	2.7	na	-100%
Europe	Czech Republic	83.2	400.4	194.0	176.4	369.0	-	-100%	
Europe	Ukraine	-	82.1	-	0.0	0.0	-	-100%	na
Europe	Romania	-	-	-	-	-	-	na	
Europe	Netherlands	-	-	-	-	-	-	na	na
Europe	Switzerland	-	-	-	-	-	-	na	
Europe	Germany	-	-	-	0.2	-	-	na	na
Europe	Hungary	-	-	-	-	-	-	na	
Europe	Spain	-	-	-	-	-	-	na	na
Europe	Italy	-	-	-	-	-	-	na	
Latin America	Peru	-	-	2.3	120.7	123.9	237.9	na	na
Latin America	Chile	-	-	-	-	0.0	27.8	na	
Latin America	Mexico	-	-	-	-	-	24.0	na	na
Latin America	Brazil	-	-	-	-	-	-	na	
Middle East	United Arab Emirates	26.4	264.1	215.9	224.6	365.7	419.3	59%	na
Middle East	Saudi Arabia	-	-	-	-	-	251.2	na	
Middle East	Israel	-	-	303.8	349.1	1,077.7	238.2	na	na
Middle East	Iraq	-	-	-	-	-	44.2	na	
Middle East	Qatar	-	-	-	-	-	-	na	na
Middle East	Jordan	-	-	-	-	-	-	na	
Middle East	Bahrain	-	-	-	-	-	-	na	195%
North America	United States	687.7	2,219.7	2,598.9	3,811.1	2,954.9	6,542.7		
North America	Canada	-	-	-	-	-	-	na	Strong sales growth seen in 2Q26 for PR
Oceania	Australia	1,490.7	1,096.9	1,131.0	616.1	37.5	530.9	-52%	
Oceania	New Zealand	-	-	-	-	-	6.6	na	na
Africa	Nigeria	-	-	-	-	-	-	na	
0	0	14,188.3	19,595.7	20,125.4	23,209.4	20,376.7	38,701.8	98%	

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Note: HS Code: 3304.99.9000

Source: Citi Research, Korea Customs

Figure 4. PR: Earnings Revision

(W bn, %)	New			Old			%		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	710	859	1,017	681	820	956	4%	5%	6%
OP	278	343	412	273	333	392	2%	3%	5%
RP	302	356	430	285	346	410	6%	3%	5%
NP	225	266	321	215	262	310	5%	1%	4%
OPM	39.2%	40.0%	40.5%	40.1%	40.7%	41.1%	-0.9%pt	-0.7%pt	-0.5%pt
RPM	42.5%	41.5%	42.3%	41.8%	42.2%	42.9%	0.8%pt	-0.8%pt	-0.6%pt
NPM	31.7%	30.9%	31.6%	31.6%	31.9%	32.4%	0.2%pt	-1.0%pt	-0.9%pt

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Source: Citi Research

Adding Upside 90-Day Short-Term View on PharmaResearch (214450.KQ)

Direction: Upside
Duration: Within 90 Days
Category: Earnings

We expect an earnings beat into 3Q given stronger than expected sales in both 1) medical device exports (W35bn, +77% YoY) and 2) global cosmetic sales (W60bn, +70% YoY); while OP margin should improve QoQ to 40.5% in 3Q on the back of controlled marketing costs. We believe the market will appreciate structural tailwinds from the 1) more aligned / sustainable medical device exports distribution policy and sales strategy; 2) successful year 1 execution in Western EU alleviating concerns on weak demand; and 3) acquisition of the US plant expected to ease logistics inefficiencies in cosmetic segment, leading to a faster lead-time and potential OP margin improvement from operating leverage.

Bull/Bear: PharmaResearch (214450.KQ)

W 570,000
▲ 51% Upside

W 500,000
▲ 32% Upside

W 290,000
▼ 23% Downside



Spread 74pp
Current Price and expected returns (upside/downside) as of 07 Aug 2026

BULL Assumptions

- Stronger-than-expected sales growth in medical device
- Higher-than-expected demand for cosmetics
- Better cost control management leading to higher margin profile

BASE Assumptions

- Medical device sales growth of +23% YoY in FY26E
- Cosmetics sales growth of +74% YoY in FY26E
- OP margin of 39% in FY26E

BEAR Assumptions

- Weaker-than-expected sales growth in medical device
- Lower-than-expected demand for cosmetics
- Less effective cost control management leading to lower margin profile

PharmaResearch

Company description

PharmaResearch, founded in 2001, is a leading South Korean medical aesthetics/pharmaceutical company specializing in regenerative materials based on polynucleotide (PN)/polydeoxyribonucleotide (PDRN) ingredients. Its major products include facial injectable medical device Rejuran and arthritis joint cavity injection product Conjuran, followed by derivative value-added cosmetic products under the same Rejuran brand.

Investment strategy

We have a Buy rating on PharmaResearch, a leading company in the global medical aesthetics sector, underpinned by its regenerative PN/PDRN skin booster. Our investment thesis assumes: 1) solid topline growth potential in the domestic market from inbound tourism; 2) increasing penetration in EU/US markets backed by rising brand recognition; and 3) portfolio expansion into toxin, new collagen booster, and EBD providing additional catalysts.

Valuation

Our target price of W500k is based on a P/E methodology. We believe PR is set for strong growth momentum underpinned by: 1) full reflection of the EU market expansion; 2) increase in cosmetic penetration in the US; and 3) sustained growth across existing countries. We believe our target 2026E P/E multiple of 26x is justified, given 1) brand originality, which many local peers seem to lack, supporting competitiveness and longer product lifecycle; 2) stronger growth potential relative to top-tier peer's injectable aesthetics sales outlook; and 3) earnings upside risk from skinbooster TAM opportunities. Our target multiple is set at a 25% premium to PR's broader peer group given the above reasons.

Risks

Key downside risks that could impede the shares from reaching our target price include: 1) change in trend (or increase in competition) within skin boosters; 2) brand reputation risk in case of medical incidents; 3) rise of generics / competition post-Rejuran's patent expiry after 2030E; and 4) prolonged weak growth in overseas markets.

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Appendix A-1

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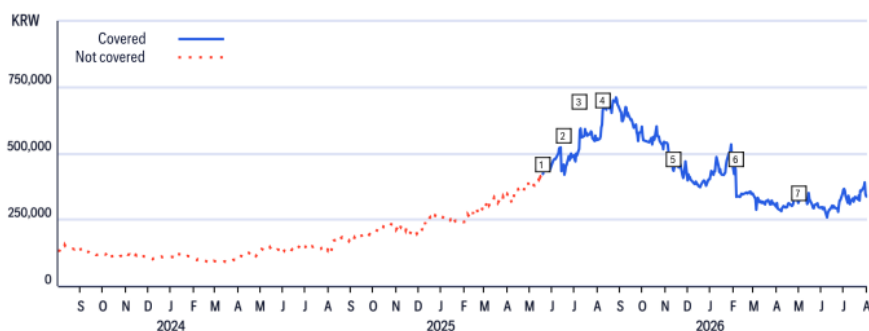
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IMPORTANT DISCLOSURES

PharmaResearch (214450.KQ)

Ratings and Target Price History Fundamental Research

Analyst: Heejin Lim



	Date	Rating	Target Price	Closing Price
1	19-May-25 04:55:14	*IH	*560,000.00	422,500.00
2	16-Jun-25 02:31:23	1H	*540,000.00	458,000.00
3	08-Jul-25 10:31:21	*1	*710,000.00	588,000.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
4	10-Aug-25 17:24:44	1	*800,000.00	664,000.00
5	11-Nov-25 11:50:03	1	*650,000.00	440,000.00
6	04-Feb-26 11:41:01	1	*570,000.00	439,500.00

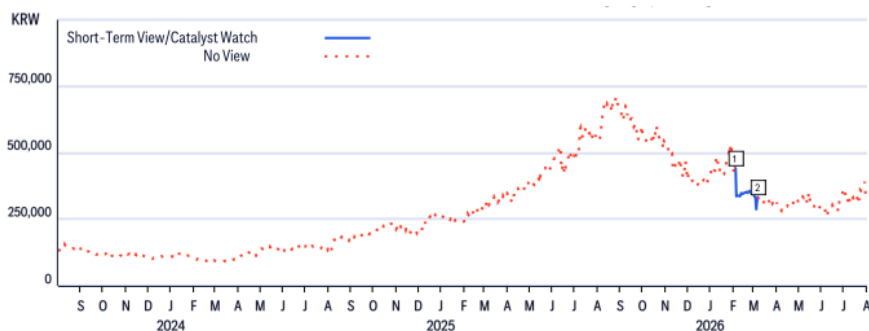
	Date	Rating	Target Price	Closing Price
7	30-Apr-26 13:47:42	1	*480,000.00	313,500.00

Rating/target price changes above reflect Eastern Time

PharmaResearch (214450.KQ)

Short-Term View/Catalyst Watch Research

Analyst: Heejin Lim



	Date	Action	Expected Direction	Duration	Closing Price
1	04-Feb-26 06:41:01	Add STV	Downside	30 Days	439,500.00

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	06-Mar-26 12:23:25	Remove STV	Downside	30 Days	333,000.00

Rating/target price changes above reflect Eastern Time

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Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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